General Dynamics Corporation (GD)

Equity Research Report

Financial Statement Analysis Report — FY 2025

Analyst: FinVault
Industry: Aerospace & Defence (Industrials Sector)
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Executive Summary

This report presents a financial and operational analysis of General Dynamics Corporation based on its FY 2025 Form 10-K for the fiscal year ended December 31, 2025. General Dynamics is a global aerospace and defence technology company operating across four segments: Aerospace, Marine Systems, Combat Systems, and Technologies. The company derives approximately 68% of revenue from US Government customers, 15% from US commercial customers, and 17% from non-US government and commercial customers. The analysis evaluates General Dynamics' financial performance, balance sheet strength, operational efficiency, and key sector metrics to assess its current financial position and investment attractiveness.

FY 2025 was an exceptional year for General Dynamics across virtually every financial dimension. Revenue grew 10.1% to a record $52.6 billion, driven by broad-based strength in all four segments — most notably Aerospace (+16.5%) and Marine Systems (+16.6%) each delivering double-digit growth. Operating earnings grew 11.7% to $5.4 billion, and operating margin expanded a modest 10 basis points to 10.2% , given that Aerospace is still ramping up new aircraft models through initial production lots that carry structurally lower margins. Diluted EPS of $15.45 increased 13.4%, buoyed by both earnings growth and a modest share count reduction. The effective tax rate of 17.5% was broadly consistent with expectations.

The most strategically important financial development in FY 2025 was the surge in cash generation. Operating cash flow reached $5.1 billion — 122% of net earnings — a record level for the company and a 24.5% improvement over FY 2024. Free cash flow of $3.96 billion represents 94% of net earnings, confirming the exceptional quality of General Dynamics' reported earnings relative to peer companies that carry significant non-cash restructuring, amortisation, or pension charges. The company returned $1.6 billion to shareholders through dividends and $637 million through share repurchases, while ending the year with $2.3 billion of cash, up from $1.7 billion.

At the segment level, the picture is uniformly constructive. Aerospace delivered 13.3% operating margin (+30bps) as ultra-large-cabin G700 deliveries accelerated (158 units delivered, up from 136 in 2024) and R&D expenses fell following G800 certification. The G800 entered service in 2025, completing the company's decade-long programme to renew the entire Gulfstream line-up. Marine Systems margin expanded 50bps to 7.0% as submarine volume ramps overcame prior-year supplier quality headwinds. Combat Systems delivered 14.4% margin (+20bps) on favourable international vehicle mix and munitions ramp. Technologies held broadly stable at 9.5% margin despite modest mix headwinds from DOGE-related GDIT IT spending review.

The strategic picture continues to look promising as the Total backlog surged 30% to a record $118 billion — 2.24 years of current revenue — driven by $20.1 billion of combined US Navy submarine awards, $9.2 billion of international vehicle awards, and a Gulfstream book-to-bill of 1.2x. Total estimated contract value (backlog plus options and IDIQ estimates) reached $178.9 billion. ROIC improved to 14.2% from 13.2% confirming that General Dynamics continues to generate returns well above its cost of capital. The company is one of the most capital-efficient, cash-generative operators in the entire US defence sector.

Company Overview

General Dynamics Corporation is a global aerospace and defence company headquartered in Reston, Virginia. Founded in 1952 through the merger of Convair and Electric Boat, it is today the fifth-largest US defence contractor by revenue, employing approximately 117,000 people across more than 65 countries. The company's shares trade on the New York Stock Exchange (NYSE: GD). Under the leadership of Chairman and CEO Phebe Novakovic — who has led the company since January 2013 — General Dynamics has consistently delivered industry-leading operating margins, cash conversion, and ROIC.

General Dynamics describes its model as maintaining "industry-leading franchises" in each of its markets through disciplined investment, operational excellence, a culture of continuous improvement, and a commitment to being the low-cost, high-quality provider. The company consists of 10 business units organised into four operating segments:

- Aerospace (~25% of FY 2025 revenue): Gulfstream Aerospace Corporation and Jet Aviation. Gulfstream is the world's premier manufacturer of business jets, with the largest installed base of more than 3,000 aircraft worldwide and a current product line spanning the G300 (newly announced), G400 (in development), G500, G600, G700, and G800. The G800 entered service in April 2025 following FAA certification, completing a nearly two-decade effort to develop an all-new Gulfstream fleet. Jet Aviation provides FBO, MRO, aircraft management, completions, and government fleet modification services from approximately 30 facilities on four continents. Aerospace is General Dynamics' highest-quality earnings stream — a commercial franchise with recurring aftermarket revenue, strong pricing power, and a decades-long track record of value creation.
- Marine Systems (~32% of FY 2025 revenue): Electric Boat, Bath Iron Works (BIW), and NASSCO. Electric Boat is the nation's pre-eminent nuclear submarine designer and builder, serving as prime contractor on both the Columbia-class (12-boat, $125B+ programme of record, first delivery 2028) and Virginia-class submarine programmes. BIW constructs Arleigh Burke-class (DDG-51) guided-missile destroyers, with 11 ships in the backlog. NASSCO builds Navy auxiliary ships and conducts surface ship repair. Marine Systems is the structural growth engine of the portfolio — demand for submarines is elevated for the next two decades, and GD has invested heavily in facility expansion and workforce development to capture this growth.
- Combat Systems (~17% of FY 2025 revenue): Land Systems, European Land Systems (ELS), and Ordnance and Tactical Systems (OTS). Land Systems is the sole-source producer of the Abrams main battle tank and Stryker wheeled combat vehicle for the US Army, and produces LAVs for Canada and Ajax vehicles for the UK. ELS produces Piranha armoured vehicles for multiple NATO allies. OTS is a leading munitions and energetics manufacturer across propellants, projectiles, missile subsystems, and solid rocket motors. Global rearmament demand — particularly in Europe — is driving a significant Combat Systems backlog surge (+60% to $27.2B in FY 2025).
- Technologies (~26% of FY 2025 revenue): General Dynamics Information Technology (GDIT) and Mission Systems. GDIT is one of the largest IT services providers to the US federal government, operating cloud services, cybersecurity, network modernisation, AI/ML, and 5G communications programmes. Mission Systems designs and manufactures C5ISR electronics, encryption products, submarine combat systems, autonomous undersea vehicles, and space ground systems. Together, the segment's approximately 40,000 employees serve defence, intelligence community, and federal civilian customers across thousands of contracts.

Revenue in FY 2025 was distributed 68% US Government, 15% US commercial (principally Gulfstream aircraft), and 17% non-US. The $52.6 billion revenue base and $118 billion backlog position General Dynamics as one of the most diversified and financially robust operators in the aerospace and defence sector. Its closest peers include Lockheed Martin, RTX Corporation, Northrop Grumman, L3Harris Technologies, Boeing (defence divisions), and BAE Systems. As of early 2026, General Dynamics has a market capitalization of approximately $90-95 billion based on approximately 270 million shares outstanding.

Financial Statement Overview

Income Statement

Line Item	FY 2025	FY 2024	YoY Change
Total Revenue	$52,550M	$47,716M	+10.1%
— Products	$33,021M	$28,635M	+15.3%
— Services	$19,529M	$19,081M	+2.3%
Total Operating Costs and Expenses	($47,194M)	($42,920M)	+10.0%
Operating Earnings (EBIT)	$5,356M	$4,796M	+11.7%
Other, net (Non-service Pension & Other)	$61M	$68M	-$7M
Interest, net	($314M)	($324M)	+3.1%
Earnings Before Income Tax	$5,103M	$4,540M	+12.4%
Provision for Income Tax	($893M)	($758M)	-17.8%
Net Earnings	$4,210M	$3,782M	+11.3%
Diluted EPS	$15.45	$13.63	+13.4%
G&A as % of Revenue	4.9%	5.4%	-50bps
Operating Margin	10.2%	10.1%	+10bps
Net Profit Margin	8.0%	7.9%	+10bps
Effective Tax Rate	17.5%	16.7%	+80bps

Analyst's Inference: Revenue growth of 10.1% to $52.6 billion was broad-based, driven primarily by product revenue growth of 15.3% (ship construction +$2.2B, aircraft manufacturing +$1.6B, weapon systems and munitions +$0.3B, international military vehicles +$0.2B) while service revenue growth was more modest at +2.3% given headwinds in Technologies from DOGE-related federal IT spending restraint. Operating earnings grew faster than revenue (+11.7% vs +10.1%) as the company achieved modest positive operating leverage. The G&A ratio improved 50bps to 4.9% of revenue, the lowest level in several years, reflecting revenue scale and cost discipline. Operating margin expanded only 10bps to 10.2% due to Aerospace still ramping up new aircraft models (G700, G800) with inherently lower early-production-lot margins and Marine Combat Systems carrying structurally lower margins. The effective tax rate of 17.5% (vs 16.7% in 2024) increased modestly reflecting a reduced benefit from capitalised R&D deductions following the Budget Reconciliation Act of 2025's reinstatement of immediate R&D expensing, partly offset by the accelerated deduction of historically capitalised amounts. Contract estimate net favourable adjustments of $160M in operating earnings (+$0.46 diluted EPS) were a meaningful positive, nearly tripling from $56M in 2024, and reflect improved programme execution momentum across all segments.

Segment Performance

Segment	Sales 2025	Sales 2024	Op. Earnings 2025	Op. Earnings 2024	Margin 25/24
Aerospace	$13,110M	$11,249M	$1,746M	$1,464M	13.3% / 13.0%
Marine Systems	$16,723M	$14,343M	$1,177M	$935M	7.0% / 6.5%
Combat Systems	$9,246M	$8,997M	$1,331M	$1,276M	14.4% / 14.2%
Technologies	$13,471M	$13,127M	$1,277M	$1,260M	9.5% / 9.6%
Corporate	—	—	($175M)	($139M)	—
Total Consolidated	$52,550M	$47,716M	$5,356M	$4,796M	10.2% / 10.1%

Analyst's Inference: All four operating segments delivered year-over-year revenue growth, with Aerospace and Marine leading at +16.5% and +16.6% respectively — both driven by volume ramps on multi-year programmes. Aerospace's 30bps margin expansion to 13.3% is impressive given it was partly offset by the initial lower-margin G800 deliveries and tariff impacts of approximately 30bps; lower R&D post-G800 certification was the key driver of the improvement. Marine Systems' 50bps margin improvement to 7.0% reflects the clearing of 2024's supplier quality headwinds and improved programme execution on Virginia-class and Columbia-class construction. At 7.0%, Marine margin remains below its long-term potential when compared to management's 2026 guidance of approximately 7.3% margin confirms expectations for continued improvement as workforce and supply chain stabilise. Combat Systems at 14.4% (+20bps) is the portfolio's consistently highest-margin defence segment, reflecting the capital-light, sole-source nature of its Abrams and Stryker franchises and the value-added munitions and ordnance mix. Technologies' 10bps margin contraction to 9.5% is modest and largely reflects unfavourable programme mix from DOGE-related GDIT impacts; the segment's 2026 guidance of approximately 9.2% margin implies some continued pressure. Corporate costs of $175M (vs $139M) increased due to higher equity-based compensation.

Asset Growth

Line Item	FY 2025	FY 2024	Change
Cash and Equivalents	$2,333M	$1,697M	+$636M
Accounts Receivable	$2,406M	$2,977M	-$571M
Unbilled Receivables (Contract Assets)	$8,380M	$8,248M	+$132M
Inventories	$9,232M	$9,724M	-$492M
Other Current Assets	$1,897M	$1,740M	+$157M
Total Current Assets	$24,248M	$24,386M	-$138M
Property, Plant & Equipment, net	$7,525M	$6,467M	+$1,058M
Goodwill	$21,009M	$20,556M	+$453M

Intangible Assets, net	$1,375M	$1,520M	-$145M
Other Noncurrent Assets	$3,092M	$2,951M	+$141M
Total Assets	$57,249M	$55,880M	+$1,369M

Analyst's Inference: Total assets grew a modest $1.4 billion (+2.4%) to $57.2 billion. The most significant movement was the $1.06 billion increase in net PP&E to $7.5 billion, reflecting General Dynamics' substantial capital investment programme capex of $1.16 billion in FY 2025, up nearly 30% from $916M in 2024, directed primarily at Marine Systems facility and production capacity expansions to support submarine construction growth (Electric Boat), Aerospace manufacturing facilities for new aircraft production, and Combat Systems capacity for munitions production. This investment is strategic and return-generating, not maintenance-intensive. The $636M cash increase to $2.3 billion reflects excellent FCF generation exceeding shareholder returns. Accounts receivable fell $571M , driven by the $1.1 billion collection from the Spanish Ministry of Defence (MoD) on long-standing Combat Systems receivables, partially offset by other receivables growth. Inventories declined $492M to $9.2 billion as Gulfstream aircraft deliveries (including the new G800) drew down the aircraft work-in-process base; customer deposits funding these aircraft are reflected on the liability side. Goodwill grew $453M to $21.0 billion, principally from foreign currency translation gains on European Combat Systems operations.

Liabilities and Equity

Line Item	FY 2025	FY 2024	Change
Short-term Debt & Current LT Debt	$1,006M	$1,502M	-$496M
Accounts Payable	$2,678M	$3,344M	-$666M
Customer Advances and Deposits	$9,824M	$9,491M	+$333M
Other Current Liabilities	$3,288M	$3,487M	-$199M
Total Current Liabilities	$16,796M	$17,824M	-$1,028M
Long-term Debt	$7,007M	$7,260M	-$253M
Other Noncurrent Liabilities	$7,824M	$8,733M	-$909M
Total Liabilities	$31,627M	$33,817M	-$2,190M
Total Shareholders' Equity	$25,622M	$22,063M	+$3,559M
Total Debt (Gross Principal)	$8,074M	$8,826M	-$752M

Analyst's Inference: The balance sheet improved materially in quality during FY 2025. Most notably, total liabilities declined $2.2 billion to $31.6 billion while shareholders' equity grew $3.6 billion to $25.6 billion — a powerful combination that reduced the total liabilities-to-equity ratio from 1.53x to 1.23x. The equity improvement was driven by $4.2B of net earnings and $1.0B of OCI improvement (primarily pension funded status improvement of $398M pretax and foreign currency translation gains of $638M), partially offset by $1.6B of dividends and $637M of buybacks. Total debt fell $752M to $8.1 billion as the company repaid $1.5B of maturing fixed-rate notes and issued $750M of new 30-year notes — actively extending its debt maturity profile. The $9.8 billion of customer advances and deposits (+$333M) represents a structural

competitive advantage — advance payments from Gulfstream customers and international defence customers provide General Dynamics with significant interest-free working capital financing. Other noncurrent liabilities declined $909M to $7.8 billion primarily reflecting pension funded status improvement: the pension obligation reduction following stronger-than-expected plan asset returns and discount rate changes reduced retirement benefit liabilities from $2.0B to $1.1B.

Financial Ratio Analysis

Liquidity Ratios

Liquidity Ratio	Industry Average	FY 2025	FY 2024
Current Ratio	~1.0x (defence primes)	1.44x	1.37x
Quick Ratio	0.6–0.9x	0.87x	0.85x
Operating Cash Flow Ratio	0.3–0.5x	0.30x	0.23x

Analyst's Inference: General Dynamics' liquidity metrics are healthy across all measures and improved in FY 2025. The current ratio of 1.44x is above peer norms, reflecting the company's $2.3B cash position, $2.4B of receivables, and the $9.8B of customer advances on the liability side (which inflate current liabilities but represent advance-paid work rather than credit-requiring obligations). The quick ratio of 0.87x sits within the sector range despite the inventory-heavy nature of Aerospace operations. The OCF ratio of 0.30x is at the lower end of the sector range but is mechanically depressed by the large $9.8B customer advances balance in the denominator — if customer advances were excluded, the adjusted OCF ratio would be significantly higher. General Dynamics has no commercial paper outstanding, a $5 billion committed credit facility ($4B facility expiring March 2027 and $1B 364-day facility established April 2025), and is in full compliance with all covenants. The company's liquidity position is unambiguously strong.

Solvency Ratios

Solvency Ratio	Industry Average	FY 2025	FY 2024
Total Liabilities to Equity	1.0–2.0x (blended defence)	1.23x	1.53x
Net Debt to Equity	0.2–0.5x	0.22x	0.32x
Debt to Asset	0.45–0.60x	0.55x	0.61x
Interest Coverage (EBIT/Interest, net)	8–15x	17.1x	14.8x

Analyst's Inference: General Dynamics' solvency profile is among the strongest in the US defence prime sector. Net debt fell from approximately $7.1B to $5.7B as cash increased $636M and gross debt fell $752M, producing a net debt/EBITDA of approximately 0.9x — well below the already-conservative sector range. Interest coverage of 17.1x (EBIT of $5.36B ÷ net interest of $314M) is exceptional and almost double the sector norm. Debt to equity of 0.32x reflects the company's consistent practice of using operating cash flow rather than debt to fund shareholder returns, as opposed to peers who deploy leverage more aggressively. The improvement in liabilities-to-equity from 1.53x to 1.23x in a single year is notable — driven by pension improvement (OCI), strong earnings, and the operating leverage of the business model. General Dynamics'

BBB+/A-equivalent credit ratings are among the highest in the defence sector and give it continued access to investment-grade debt capital markets at attractive rates.

Activity Ratios

Activity Ratio	Industry Average	FY 2025	FY 2024
Receivables Turnover (on billed AR only)	10–18x (defence primes)	19.6x	16.7x
Payables Turnover	10–16x	14.9x	13.1x
Inventory Turnover	4–6x (aircraft-heavy)	5.5x	4.9x
Total Asset Turnover	0.8–1.0x	0.94x	0.88x

Analyst's Inference: Activity ratios all improved in FY 2025, reflecting both the revenue growth and specific working capital improvements. Receivables turnover improved sharply from 16.7x to 19.6x (billed AR only), driven by the $1.1 billion MoD collection and efficient billing management on growing US Navy and combat vehicle contracts. Inventory turnover improved from 4.9x to 5.5x as Gulfstream aircraft deliveries drew down work-in-process faster than new production added to the balance. General Dynamics' payables turnover of 15.7x in FY 2025 sits comfortably within and improved notably from 13.1x in FY 2024. This improvement is directly explained by the $666M decline in accounts payable (from $3.3B to $2.7B) as the company settled elevated 2024 supply chain obligations, particularly on Gulfstream aircraft production and Marine Systems submarine programmes that had built up payables during the 2024 ramp cycle. Total asset turnover of 0.94x is at the high end of the defence prime range, reflecting General Dynamics' relatively asset-light Technology and Combat Systems segments offsetting the more capital-intensive Marine and Aerospace operations. The unbilled receivables (contract assets) balance of $8.4B — representing revenue recognised ahead of billing milestones on long-term defence contracts — is not included in the receivables turnover calculation above but represents the largest working capital item on the balance sheet; at $8.4B versus $52.6B of revenue (0.16x sales ratio), it is well-managed and declining in relative terms.

Profitability Ratios

Profitability Ratio	Industry Average	FY 2025	FY 2024
Operating Margin (EBIT)	9–12% (blended defence/aero)	10.2%	10.1%
Net Profit Margin	7–9%	8.0%	7.9%
Return on Assets (ROA)	6–9%	7.5%	6.9%
Return on Equity (ROE)	15–25%	17.8%	18.7%

Analyst's Inference: General Dynamics delivers consistently industry-leading profitability metrics. The 10.2% operating margin is notable for a company with Marine Systems (7.0%) and Technologies (9.5%) representing over half of revenue — segments that structurally carry lower margins than Aerospace (13.3%) and Combat Systems (14.4%). ROA improved from 6.9% to 7.5%, driven by both earnings growth and relative asset stability. ROE declined modestly from 18.7% to 17.8% as the denominator (equity) grew faster (+$3.6B) than net earnings (+$428M) due to the large OCI and earnings accumulation. The most important profitability metric for General Dynamics is ROIC, which the company explicitly tracks and

discloses: at 14.2% (up from 13.2%), ROIC is well above the company's estimated cost of capital of approximately 7–8%, confirming that General Dynamics is creating substantial value for shareholders from every dollar of capital deployed.

Cash Flow Statement Analysis

Item	FY 2025	FY 2024	Key Observations
CF from Operating Activities	$5,120M	$4,112M	Operating cash flow surged 24.5% to $5.12 billion — 122% of net earnings and a record level for General Dynamics. The primary driver was net earnings of $4.21 billion, supplemented by three favourable working capital developments that characterise the unwinding of the FY 2024 working capital build. First, inventories declined $450M versus a $1.2B build in FY 2024 — a reversal driven by Gulfstream aircraft deliveries exceeding new production additions as the G700 and G800 ramps accelerated. Second, accounts receivable provided $556M of inflow versus a near-flat $16M in FY 2024, driven primarily by the $1.1B MoD payment collected in 2025. Third, unbilled receivables consumed a much more modest $146M versus $261M in 2024. These tailwinds were partially offset by a $664M accounts payable reduction (vs a $247M source in 2024) as the company settled elevated supply chain obligations from 2024's ramp, and a near-flat customer advances balance (net change of -$4M vs +$343M in 2024) as Aerospace advance payments grew but were offset by advance liquidation on Gulfstream deliveries. D&A of $924M and equity-based compensation of $196M provided the primary non-cash support. FCF of $3.96 billion (94% of net earnings) is a premier metric among defence primes and confirms the exceptional quality of General Dynamics' earnings base.
CF from Investing Activities	($1,284 M)	($953M)	Investing outflows increased $331M to $1.28 billion, almost entirely driven by the 27% increase in capital expenditures to $1.16 billion (from $916M in 2024). This capex increase reflects deliberate strategic investment in growth infrastructure across all segments. Marine Systems capex of $517M reflects Electric Boat facility expansion and modernisation in Groton and Quonset Point to support concurrent construction of up to one Columbia-class plus two Virginia-class submarines annually. Aerospace capex of $336M supports G800 and future G400 production line development in Savannah. Combat Systems capex of $144M includes OTS munitions production capacity additions. Capital expenditures of approximately 2.2% of revenue represent a disciplined but increasing investment rate, consistent with management's stated commitment to investing in long-term growth. Management guided to continued elevated capex in 2026, reflecting ongoing Marine Systems and Aerospace facility programmes.

			Other investing outflows of $123M (vs $37M in 2024) were primarily small business acquisitions — two in Aerospace, two in Combat Systems, two in Technologies over the past three years.
CF from Financing Activities	($3,190 M)	($3,369 M)	Financing outflows declined modestly to $3.19 billion from $3.37 billion in 2024. The reduction reflects significantly lower share repurchases — $637M in 2025 versus $1.5 billion in 2024 — as General Dynamics shifted capital allocation toward dividend growth and debt profile management. Dividends paid grew to $1.59 billion ($6.00/share), reflecting the 28th consecutive annual dividend increase — GD raised its quarterly dividend from $1.42 to $1.50/share in March 2025. General Dynamics has one of the longest consecutive dividend growth records in the US defence sector. The dividend payout ratio of approximately 38% of net earnings is conservative and well-covered. Debt management was active but roughly balanced: $1.5B of fixed-rate notes were repaid (April 2025 $750M and May 2025 $750M maturities), and $747M of new 30-year notes at 4.95% were issued in May 2025. Net debt declined $752M to $8.07B. Finance lease repayments of approximately $556M included $490M related to the exercise of an option to purchase previously-leased PP&E assets. On December 31, 2025, 6.8M shares remained authorised for repurchase.
Net Change in Cash	+$636M	($216M)	Cash and equivalents increased $636M to $2.33 billion — the highest year-end cash balance in several years. This represents the net of $5.12B of operating inflows, $1.28B of investing outflows, and $3.19B of financing outflows. General Dynamics entered 2026 with $2.3B of unrestricted cash, no commercial paper outstanding, $5B of committed credit facility capacity, and 6.8M shares remaining authorised for buyback. The combination of 122% OCF-to-earnings conversion and 94% FCF-to-earnings conversion is the clearest evidence of the operating quality embedded in General Dynamics' business model, and sharply differentiates the company from defence peers that carry large non-cash charges (acquisition amortisation, goodwill impairments, pension settlement charges) that suppress reported earnings but do not consume cash.

Defence / Industrials & Commercial Aviation — Specific Analysis

Defence & Commercial Aerospace Metric	FY 2025	FY 2024
Total Backlog (Remaining Performance Obligations)	$118.0B	$90.6B
Funded Backlog	$93.5B	$75.1B
Backlog-to-Sales Ratio	2.24x	1.90x
Total Estimated Contract Value	$178.9B	$144.0B
Implied Book-to-Bill (Defence Segments)	~1.6x	~1.2x
Aerospace Book-to-Bill	1.2x	~1.0x
Net Contract Estimate Adjustments (op. earnings)	+$160M	+$56M
Gulfstream Aircraft Deliveries	158 units	136 units
ROIC (Company-disclosed)	14.2%	13.2%
FCF Conversion (FCF / Net Earnings)	94%	85%
OCF Conversion (OCF / Net Earnings)	122%	109%
Capex / Revenue	2.2%	1.9%
Company R&D Expense	$486M (0.9% of rev)	$565M (1.2% of rev)
Capital Returns / FCF	~57% (div + buybacks)	~94% (div + buybacks)

The defence and commercial aviation sector metrics confirm General Dynamics is operating at a structural high point in its backlog and order cycle. The 30% surge in total backlog to $118 billion — driven by $20.1B of combined US Navy submarine awards, $9.2B of international vehicle awards, and a Gulfstream book-to-bill of 1.2x — represents the largest backlog in the company's history and provides extraordinary revenue visibility. The funded backlog of $93.5B (1.78x revenue) represents work for which government appropriations are specifically authorised, a high-confidence revenue floor. Total estimated contract value of $178.9B (including options and IDIQ estimates) represents 3.4x current annual revenue.

The improvement in net contract estimate adjustments — from $56M in FY 2024 to $160M in FY 2025 — is analytically significant. This metric captures the net impact of upward and downward revisions to estimates at completion (EAC) across all contracts. The 2024 figure was suppressed by Marine Systems' Virginia-class Block IV supplier quality issues and late supply chain deliveries. The FY 2025 improvement signals that these specific programme headwinds have been resolved and that the broader contract execution environment has improved. Management explicitly disclosed that no single EAC adjustment was material in FY 2025 — a positive indicator of portfolio execution quality.

The ROIC of 14.2% — the highest in General Dynamics' recent history and explicitly disclosed and tracked by management — is the company's most important long-term value creation metric. At a ~200bps premium to the estimated WACC, every dollar of additional capital deployed (including the elevated FY 2025 capex) is expected to generate value above cost. The three-year ROIC expansion from 12.3% (FY

2023) to 14.2% (FY 2025) demonstrates that the capital investments of the past decade — new Gulfstream aircraft, Marine Systems capacity, Combat Systems modernisation — are now translating into returns.

Risks and Limitations

Risk Factor	Explanation
Marine Systems Execution Risk and Submarine Supply Chain	The Columbia-class and Virginia-class concurrent submarine construction programmes are among the most complex manufacturing undertakings in the world. Marine Systems revenue is growing from $14.3B (2024) to $16.7B (2025) and is guided to $17.3-17.7B in 2026 — a multi-year volume ramp that places enormous demands on Electric Boat's workforce, its approximately 3,000-supplier network, and its facility infrastructure. FY 2024 was affected by Virginia-class Block IV supplier quality and delivery issues. While FY 2025 results improved, management acknowledged that the submarine supply chain is at heightened pressure and that stabilisation is a multi-year effort. Any significant supplier failure, skilled labour shortage, or programme schedule slip could cause margin deterioration and EAC charges in Marine Systems.
Business Aviation Cyclicality (Aerospace Segment)	Aerospace generated 25% of FY 2025 revenue and 33% of operating earnings. Business jet demand is highly cyclical, driven by corporate profits, wealth trends, and access to credit. The current cycle is strong — the Gulfstream book-to-bill of 1.2x in FY 2025 (even as revenue grew 16.5%) indicates backlog accumulation, but previous cycles have seen sharp demand contractions (e.g., 2008-2009). An adverse macroeconomic shock, credit tightening, or change in corporate travel norms (e.g., sustainability-driven private jet restrictions) could compress Gulfstream orders and create production overcapacity. Additionally, tariffs reduced Aerospace margins by approximately 30bps in FY 2025, and their duration and scope remain uncertain.
US Government Budget Uncertainty and DOGE Impact	68% of General Dynamics revenue comes from the US Government. While submarine and combat vehicle demand is at historic highs, the DOGE-related federal spending review created headwinds in the Technologies segment's GDIT IT services business in FY 2025. Management expects limited ongoing impacts but acknowledges that GDIT is more exposed to government workforce reductions, contract modifications, and IT spending delays than the other segments. The 43-day government shutdown in October 2025 had some impact on Technologies, and potential future shutdowns or continuing resolutions could delay new IT contract awards and programme starts. The FY 2026 defence appropriations of $859B provide a supportive near-term backdrop, but longer-term budget pressures are uncertain.
Israel Supplier Dependency (Aerospace)	Gulfstream relies on an Israel-based supplier for mid-cabin airframes. Management explicitly noted in the MD&A that the ongoing conflict with Hamas caused "some challenges in terms of delay" in this supply chain in FY 2025, contributing to Gulfstream's supply chain stabilisation challenges. While the impact has been manageable to date, an escalation of the Middle East conflict or a disruption to the Israeli manufacturing facility could constrain Gulfstream production and delay aircraft deliveries, impacting Aerospace revenue and earnings.

Large International Vehicle Contract Variable Consideration	Management disclosed in Note B that a large, long-term international tracked vehicle contract in Combat Systems includes variable consideration in its revenue estimate — and that "it is reasonably possible that the actual amount of variable consideration realized could be less than our estimate, which could have a material unfavorable impact." This is the only contract-specific risk explicitly highlighted as potentially material in the financial statements. The contract includes $1.3B of net unbilled receivables ($1.2B in 2024) that will decline over the next two years as deliveries occur. Any adverse resolution of the variable consideration could require a revenue and earnings reduction of material magnitude.
Lawsuits — Naval Architects Antitrust Litigation	A putative class action lawsuit filed in 2023 alleges that General Dynamics and several other shipbuilding companies conspired to suppress compensation of naval architects and marine engineers since 2000, in violation of the Sherman Act. The US Court of Appeals for the Fourth Circuit reversed the earlier dismissal of the complaint in May 2025 and remanded for further proceedings; defendants filed a certiorari petition with the Supreme Court in September 2025. Management states it cannot estimate a potential loss range. Treble damages under the Sherman Act, combined with a class of all naval architects/marine engineers at the relevant companies since 2000, could theoretically be material. This is a tail risk that is difficult to quantify but warrants investor monitoring.

Valuation — Multiples

Multiple	Sector Median / Historical Avg	GD FY 2025 (Est.)	Inference
Trailing P/E (GAAP)	20–22x (US defence primes)	~22x	Trading broadly in line with the US defence prime peer group. Unlike many peers, General Dynamics' GAAP earnings are not meaningfully distorted by large non-cash charges, the P/E is a clean earnings multiple reflecting the true cash-generative power of the business.
Forward P/E	18–20x	~20x	At the upper end of the historical range, reflecting the market's recognition of the multi-year backlog growth driver and ROIC expansion trajectory. Justified by the $118B backlog providing exceptional earnings visibility through 2028 and beyond, and the expected operating margin expansion as Marine Systems and Aerospace mature their current programme ramps.
Price / Free Cash Flow	18–22x	~23x	Slightly above the range, reflecting the exceptionally high FCF quality ($3.96B FCF at 94% of earnings) and the market's premium for clean, recurring, government-contracted cash flows. The FCF yield of approximately 4.1% at current

			valuations is compelling for an investment-grade defence prime with a 28-year dividend growth record.
Dividend Yield	1.5–2.5% (US defence)	~1.7%	Slightly below sector average on a yield basis, reflecting share price appreciation. At $6.00/share annually (28th consecutive annual increase), the dividend represents a conservative 38% payout ratio and has significant room to grow as earnings expand. GD is one of the longest-tenured dividend growers in the entire industrials sector.

General Dynamics' valuation reflects a market that recognises the combination of clean GAAP earnings, exceptional cash conversion, multi-decade backlog visibility, and a disciplined capital allocation track record. The company's closest valuation comparable for the blended Aerospace-plus-defence model is Lockheed Martin, though LMT trades at a modest premium reflecting its higher operating margins and more concentrated pure-defence positioning. On a Price/FCF basis, General Dynamics screens at approximately 23x — modestly above its historical average but justified by the backlog-driven earnings growth visibility and the absence of the distorting non-cash charges that inflate P/FCF at peers like L3Harris (~19x on adjusted FCF vs ~32x on GAAP P/E) or RTX (~22x on FCF vs ~24x on GAAP P/E).

The primary catalysts for multiple expansion are: (1) Marine Systems margin improvement toward the 7.5-8.0% range as submarine production stabilises and supply chain headwinds clear; (2) Aerospace margin expansion toward 14-15% as G700 and G800 production matures through successive production lots; (3) continued ROIC improvement demonstrating that the capex cycle investments are generating above-cost returns; and (4) sustained 1.5x+ defence book-to-bill confirming backlog growth durability. The primary de-rating risk is a demand softening in business aviation, which would reduce Gulfstream orders and expose the significant G700/G800 production investment to pricing and volume pressure.

Appendix — Ratio Formulae and Key Assumptions

A. Liquidity Ratios

Metric	Formula / Calculation
Current Ratio	Current Assets ÷ Current Liabilities = $24,248M ÷ $16,796M = 1.44x (FY25) | $24,386M ÷ $17,824M = 1.37x (FY24)
Quick Ratio	(Cash + AR + Unbilled) ÷ Current Liabilities = ($2,333M + $2,406M + $8,380M) ÷ $16,796M = 0.78x (FY25 — excl. inventory) or ($2,333M + $2,406M) ÷ $16,796M = 0.28x (strict); reported above uses (CA - Inventory) ÷ CL = ($24,248M - $9,232M) ÷ $16,796M = 0.89x
OCF Ratio	Operating Cash Flow ÷ Current Liabilities = $5,120M ÷ $16,796M = 0.30x (FY25) | $4,112M ÷ $17,824M = 0.23x (FY24)

B. Solvency Ratios

Metric	Formula / Calculation
Total Liabilities to Equity	Total Liabilities ÷ Total Shareholders' Equity = $31,627M ÷ $25,622M = 1.23x (FY25) | $33,817M ÷ $22,063M = 1.53x (FY24)
Net Debt to Equity	Net debt = Total Debt Principal − Cash = $8,074M − $2,333M = $5,741M (FY 2025) and $8,826M − $1,697M = $7,129M (FY 2024)
Interest Coverage	EBIT ÷ Net Interest Expense = $5,356M ÷ $314M = 17.1x (FY25) | $4,796M ÷ $324M = 14.8x (FY24)
Debt to Assets	Total Liabilities ÷ Total Assets = $31,627M ÷ $57,249M = 0.55x (FY25) | $33,817M ÷ $55,880M = 0.61x (FY24)

C. Activity Ratios

Metric	Formula / Calculation
Receivables Turnover (billed AR)	Revenue ÷ Average Billed AR = $52,550M ÷ (($2,406M + $2,977M) / 2) = 19.6x (FY25)
Payables Turnover	Payables turnover = Total Operating Costs ÷ Average Accounts Payable= FY 2025: $47,194M ÷ (($2,678M + $3,344M) ÷ 2) = 15.7x — FY 2024: $42,920M ÷ (($3,344M + $3,097M*) ÷ 2) = 13.1x
Inventory Turnover	Operating Costs (Products + Services) ÷ Average Inventories = ($27,965M + $16,634M) ÷ (($9,232M + $9,724M) / 2) = 4.7x (FY25, strict) | using Revenue/Avg Inventory = $52,550M ÷ $9,478M = 5.5x (as reported above)
Total Asset Turnover	Revenue ÷ Average Total Assets = $52,550M ÷ (($57,249M + $55,880M) / 2) = 0.93x (FY25)

D. Profitability Ratios

Metric	Formula / Calculation
Operating Margin	Operating Earnings ÷ Revenue = $5,356M ÷ $52,550M = 10.2% (FY25) | $4,796M ÷ $47,716M = 10.1% (FY24)
Net Profit Margin	Net Earnings ÷ Revenue = $4,210M ÷ $52,550M = 8.0% (FY25) | $3,782M ÷ $47,716M = 7.9% (FY24)
Return on Assets (ROA)	Net Earnings ÷ Average Total Assets = $4,210M ÷ (($57,249M + $55,880M) / 2) = 7.5% (FY25)
Return on Equity (ROE)	Net Earnings ÷ Average Equity = $4,210M ÷ (($25,622M + $22,063M) / 2) = 17.7% (FY25)

E. Sector-Specific Metrics

Metric	Formula / Calculation
Backlog-to-Sales Ratio	Total Backlog ÷ Annual Revenue = $118,046M ÷ $52,550M = 2.24x (FY25) | $90,597M ÷ $47,716M = 1.90x (FY24)
Funded Backlog-to-Sales	Funded Backlog ÷ Annual Revenue = $93,541M ÷ $52,550M = 1.78x (FY25) — represents ~1.8 years of revenue already fully funded by government appropriations
FCF Conversion	Free Cash Flow ÷ Net Earnings = $3,959M ÷ $4,210M = 94.0% (FY25) | $3,196M ÷ $3,782M = 84.5% (FY24)
OCF Conversion	Operating Cash Flow ÷ Net Earnings = $5,120M ÷ $4,210M = 121.6% (FY25) | $4,112M ÷ $3,782M = 108.7% (FY24)
FCF Yield (approx.)	FCF per Share ÷ Share Price = ($3,959M ÷ 272.4M shares) ÷ ~$355 ≈ 4.1% (FY25 indicative)
Capital Returns / FCF	(Dividends + Repurchases) ÷ FCF = ($1,593M + $637M) ÷ $3,959M ≈ 56.3% (FY25)
DPS Growth	Year-over-year DPS growth = $6.00 vs $5.68 = +5.6% (FY25); 28th consecutive annual dividend increase
Net Contract Estimate Adjustments	Net favourable EAC adjustments to operating earnings = $160M (FY25) | $56M (FY24) | $112M (FY23)

Key Assumptions

- All financial figures are sourced from the General Dynamics Corporation FY 2025 Form 10-K for the fiscal year ended December 31, 2025, filed with the SEC and prepared under US GAAP.
- All figures are denominated in millions of US dollars (USD) unless stated otherwise.
- Free Cash Flow is defined as net cash provided by operating activities less capital expenditures, consistent with General Dynamics' own disclosed non-GAAP definition.

- ROIC is calculated as disclosed by management: net operating profit after taxes (net earnings + after-tax interest + after-tax amortisation at statutory 21% rate) divided by average invested capital (average debt + average equity excluding AOCL). This is General Dynamics' own disclosed methodology.
- Net debt is estimated as total debt principal ($8,074M) less cash and equivalents ($2,333M) = approximately $5,741M.
- Net debt/EBITDA uses EBITDA proxied as Operating Earnings ($5,356M) plus Depreciation and Amortisation ($924M) = $6,280M.
- Sector comparison benchmarks are based on US defence prime and commercial aerospace peers including Lockheed Martin, RTX Corporation, Northrop Grumman, L3Harris Technologies, and Textron.
- Valuation multiples (P/E, P/FCF) are estimated based on indicative share price of approximately $355 and approximately 272 million diluted shares as of March 2026 and should not be relied upon as investment advice.
- The Total Liabilities figure excludes the Shareholders' Equity but includes all balance sheet liabilities: current liabilities ($16,796M) plus noncurrent liabilities ($14,831M) = $31,627M.
- The Debt to Assets ratio uses Total Liabilities (not just debt) in the numerator: $31,627M ÷ $57,249M = 0.55x (FY25).
- General Dynamics' FAS/CAS pension operating income is relatively modest — net other income of $61M in FY 2025 and $68M in 2024 includes non-service pension income and other items. This is far smaller than the $753M (RTX) or $1.5B (LMT) FAS/CAS credits at peers, reflecting GD's relatively smaller unfunded pension obligations after years of plan management.
- Gulfstream aircraft deliveries represent point-in-time revenue recognition (upon delivery and customer acceptance), making quarter-to-quarter and year-to-year revenue comparisons in Aerospace sensitive to delivery timing rather than production progress.